

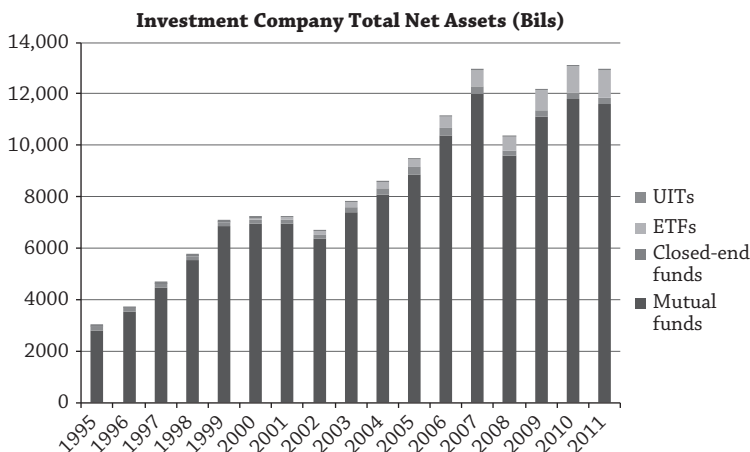


Figure 16.2

buy or sell shares in the mutual fund, not including fees. Mutual fund shares are redeemable daily at the NAV.¹⁰ Mutual funds are said to be *open-ended* because investors can purchase or redeem shares from the issuer, so the number of outstanding shares can rise (or fall) over time.

Although mutual funds hold the most assets of all registered investment company types, their share has been slowly shrinking. In 2000, mutual funds accounted for 96% of all investment company assets, but by the end of 2011 this proportion had declined to 90%.

In contrast to mutual funds, shares of **closed-end funds** are not redeemable and are fixed in number. (There can be secondary issues after the fund's inception, and the fund may offer to repurchase shares, but these are usually infrequent occurrences.) These shares trade on a secondary market after initial public offering (IPO). Closed-end funds are allowed to invest in more illiquid securities than mutual funds (which have to provide daily liquidity).

Mutual funds and closed-end funds are managed by *registered investment advisors*, which are separate entities from the funds. Investment advisors are compensated through fees paid by the fund shareholders. Often, the registered investment advisor works for the *fund sponsor*. The fund sponsor is usually an asset management company, like Janus, that creates and markets many registered investment companies. Funds that have the same brand name or manager are called *mutual fund families* (or *complexes*). The Janus fund family includes all funds marketed under the Janus name, like the Janus Twenty Fund, but Janus also sponsors funds in different fund families as with its INTECH funds.

Sometimes a fund sponsor can outsource management of a fund to a third-party (a *subadvisory firm*). These externally managed funds are usually marketed

¹⁰The provision of this *daily liquidity* by mutual funds is costly to the fund shareholders, as shown by Edelen (1999), Coval and Stafford (2007), and Chen, Goldstein, and Jiang (2010).